

CHOKIE FANA COLLEGE MOTTA CAMPUS

College of Business and Economics

Department of Management

Model Exit Exam for 4th year Regular students

Which Systems Software helps users to generate information system programs, procedures and prepare user programs for computer processing?

- A. System Management Programs
- B. System Support Programs
- C. System Development Programs
- D. System Utilities

ANSWER: C

Which Human Resource Information Systems are mostly used for manpower planning, and program planning?

- A. Operational Human Resource Information Systems
- B. Tactical Human Resource Information Systems
- C. Strategic Human Resource Information Systems
- D. All

ANSWER: C

Which one of the following is incorrect about Computer crime?

- A. It's the unauthorized release of information.
- B. Denying an end user access to his or her hardware, software, data, or network resources.
- C. The unauthorized use, access, modification, hardware, software, data, or network resources.
- D. Using computers or network resources to obtain information or tangible property legally.

ANSWER: D

Which Knowledge Management theory focuses on relationships, and the internal and external factors that draw people together to share knowledge?

- A. Organizational theory
- B. Ecological theory
- C. Techno-centric theory
- D. Structural theory

ANSWER: B

Which one of the following is NOT an accurate description of modern marketing?

- A. Marketing is the creation of value for customers
- B. Marketing involves managing profitable customer relationships
- C. Marketing emphasizes selling and advertising exclusively
- D. Marketing involves satisfying customers' needs

ANSWER: C

In 'PESTEL' analysis of marketing environment "P" represents

- A. Product
- B. Price
- C. Political
- D. Promotion

ANSWER: C

People skipping the TV commercials while watching their favorite programmes by tuning to other channels is an example of ____.

- A. Selective exposure
- B. Selective blocking
- C. Selective attention
- D. Selective interpretation

ANSWER: B

One cannot be everything to everyone but we can be everything to a select few is the basis for.

- A. Mass marketing
- B. Mass customization
- C. Market segmentation
- D. None of the above

ANSWER: C

Which one of the following is/are internal factors affecting pricing decision?

- A. Cost of the product
- B. Demand
- C. Competition
- D. All of the above

ANSWER: A

Which one of the following is true?

- A. Personal selling is suitable for branded and popular products
- B. Advertising and sales promotion techniques are widely used for industrial goods
- C. Advertising is more suitable for simple and easy-handled product
- D. In case of a limited market advertising is more effective

ANSWER: C

When a company wants to develop artificial scarcity to create demand, then which distribution strategy is best?

- A. Intensive distribution
- B. Selective distribution
- C. Exclusive distribution
- D. All of the above

ANSWER: C

All of the following reasons to study international business except

- A. To bring non-territorial areas under the control of national governments
- B. International business comprises a large and growing portion of the world's total business
- C. Global events and competition affect almost all companies
- D. Company operating internationally will engage in modes of business that differ from those it is accustomed to domestically

ANSWER: A

An analysis of the external environment enables a firm to identify

- A. Strengths and opportunities
- B. Strengths and weaknesses
- C. Weaknesses and threats
- D. Opportunities and threats

ANSWER: D

Which one is not under international marketing entry decisions?

- A. Which markets to enter
- B. Timing
- C. Scale to enter
- D. None of the above

ANSWER: D

Which one are not the reasons for product adaptations.

- A. Primarily consumer and personal use products
- B. Variations in ability to buy
- C. Strong cultural differences
- D. None of the above

ANSWER: D

All are the purpose of promotion, except

- A. Knowledge
- B. Awareness
- C. Design
- D. Preference

ANSWER: C

International pricing policies are includes all, except

- A. Profit maximization
- B. Market share
- C. Survival
- E. None of the above

ANSWER:D

Which one is not the approach/ policies of Distribution channel.

- A. Selective distribution
- B. Random distribution
- C. Mass distribution
- D. Exclusive distribution

ANSWER: B

Identify a variable in which the characteristic being studied is non-numeric and can be described in words.

- A. Quantitative variable
- B. Discrete variable
- C. Continuous variable
- D. Qualitative variable

ANSWER: D

Distinguish incorrect statement about the scale of measurement?

- A. Ordinal data have meaningful inequalities.
- B. Interval data are qualitative data that are converted into numerical data by coding.
- C. Ratio data are interval data, which also have true zero point.
- D. There is no intrinsic or true zero in interval data.

ANSWER: B

The manager of ABC Industry wants to compare the mean, median and mode of the number of daily workers he hired each working day and he wants to compare the result. He collects the following data (6, 4, 15, 12, 8, 9, 11, 15,). What is the result respectively?

- A. 15, 10, 10
- B. 10, 10, 15
- C. 10, 10, 10
- D. 15, 15, 16

ANSWER: B

If the mean of five values is 40, what is the sum of the value?

- A. 351
- B. 315
- C. 320
- D. 200

ANSWER: D

Which one of the following statement is false?

- A. Variance is the average of square deviation of the data from the mean.
- B. Standard deviation is the square root of the variance.
- C. Variance is the square root of standard deviation.
- D. Range is the difference between highest and lowest value.

ANSWER: C

The probability of Tesfa, Fikir and Yihun passing a test is 60%, 40% and 20% respectively. What is the probability that Tesafa and Fikir will pass the test but Yihun will not?

- A. 38.4%
- B. 60%
- C. 4.8%
- D. 19.2%

ANSWER: D

Sara is went to conducting a research on “integrity of academic staff in implementing new educational policy” at Injbara University. The population of her study is all academic staff in Injbara University. The study is focused on selecting a sample from each college academic staffs. She determines the proportion of sample selected from each college/group and gives equal chance for the staff for each college/group. What sampling techniques she applies?

- A. Simple random sampling
- B. Systematic random sampling
- C. Stratified random sampling
- D. Cluster random sampling

ANSWER: C

Consider the following hypothesis $H_0: \mu > 10$ and $H_1: \mu < 10$. If $n = 36$, sample mean = 10.4 and $\sigma = 12$; compute the test statistics value.

- A. 0.4
- B. 0.2
- C. 0.05
- D. 1.5

ANSWER: B

The manufacturer of Addis tire claims that the mean mileage the tire can be driven before the tread wears out is 60,000 miles. What will be the correct structure of the null hypothesis claimed by the manufacturer?

- A. $\mu > 60,000$

B. $\mu < 60,000$

C. $\mu > 60,000$

D. $\mu = 60,000$

ANSWER: D

Injbara flour factory produces flour in three shifts (morning, afternoon and night). The quality control manager wants to test the null hypothesis that there is independent relationship between quality of flour and the shift it produces. The manager examined a random sample of quintals of flour produced during three shifts. He wants to test a hypothesis at a 5% level of significance. What statistical test you recommend to test this like hypothesis?

A. Z-test

B. t-test

C. χ^2 -test

D. F-test

ANSWER: C

Knowledge about organizational behavior helps organizations with key management activities like the following except;

A. Managing human resources

B. Improving quality.

C. Maintaining high performance work systems.

D. None of the above

ANSWER: D

Which one of the following core management principle in organization behavior?

A. Planning

B. Organizing

C. Directing

D. Leading

E. Controlling

ANSWER: B

Which one of the following is False about Organizational Behavior?

- A. It is the study human behavior in the organization on individual, group and organizational levels.
- B. It analyses the behavior of people on how, why, and what causes their behavior in organizational settings
- C. It helps to understand the attributes of peoples to come up with ideas to develop organizational systems.
- D. It studies the behavior of people at the group level on how groups work, why they interact in group work, and Collaboration.
- E. None of the above

ANSWER: E

Which one of the following is true statement?

- A. Anything we know about an object or the facts we have about an object is the cognitive component
- B. Based on our knowledge about object, we have emotions of liking or disliking towards the object – these emotions are the behavioral component
- C. Based on our knowledge and emotions about the object, we act towards the object in a specific way-it is the affective component
- D. All of the above

ANSWER: A

Which one of the following is False about attitude?

- A. A person with a high level of “Job Satisfaction” holds negative attitudes toward the job.
- B. person who is dissatisfied with his or her job holds positive attitudes about the job
- C. Employees with a high level of job involvement strongly identify with and really care about the kind of work they do.
- D. Individuals with a high organizational commitment identify weakly with the organization and take pride in considering themselves members.

ANSWER: C

Effective groups are characterized by; all except

- A. usually has effective leadership
- B. Always have defined goals
- C. Have open communications
- D. Rely on collaboration
- E. None of the above

ANSWER: E

Which one of the following is true about Abraham Maslow's theory of motivation?

- A. Leaders who focus on self-actualization needs in trying to motivate subordinates assume that individuals work primarily for money.
- B. In an organizational workplace, safety needs reflect the needs for safe jobs, fringe benefits, and job security.
- C. In the organization, Esteem needs influence the desire for good relationships with coworkers, participation in a work group, and a positive relationship with supervisors.
- D. Within organizations, Social needs reflect a motivation for recognition, an increase in responsibility, high status, and credit for contributions to the organization.

ANSWER: B

Which one of the following is true statement about Economic environment of HRM?

- A. When economic is decline, unemployment rate is low it has harder to human resource manager to recruit and select qualified employees.
- B. When the economy is booming and unemployment rate is low, it difficult to acquire and retain the staff for Human resource manager.
- C. When the economy is booming and unemployment rate is high, it is easy to acquire and retain the staff for Human resource manager.
- D. None

ANSWER: B

All are true statement about training and development except one?

- A. Training focuses on present jobs while development focuses on future jobs, as well.

B. Development is a long-term nature while Training is short term to help fix any current deficits in employees' skills.

C. Training emphasizes current skill requirements while development includes future needs as well.

D. Development is short term, whereas training is long term.

ANSWER:D

Assume you are a human resource manager of ABC organization. In this organization there are 20 entry-level jobs. For those entries –level jobs 100 applicants are registered. To select 20 employees from 100 candidates you want to measure level of knowledge and skill already acquired by an individual .What type of test you have to prepare?

A. Aptitude test

B. Performance test

C. Personality test

D. Interest test

ANSWER: B

National Motors Corporation (NMC) provides services like child care, employee transportation and educational services to its employees. The type of employee service provided by NMC is:

A. Executive Perquisites

B. Pay for time not worked

C. Job-Related Services

D. Retirement benefits

E. Personal Services

ANSWER: C

Job analysis, HR planning, recruitment, selection, placement, inductions and internal mobility are few important functions which come under the heading of _____ HRM.

A. Integration function

B. Development

C. Maintenance

D. Procurement function

ANSWER: D

Grievance redresses, discipline, collective bargaining are _____ of HRM.

A. Integration function

B. Procurement function

C. Development function

D. Behavioral function

ANSWER: A

Which of the following is true regarding to human resource planning process?

A. If HR demand is greater than internal HR supply, the net HR requirement is positive.

B. If HR demand is less than internal HR supply, the net HR requirement is positive

C. If HR demand is greater than internal HR supply, the net HR requirement is negative

D. Net Human resource requirement is not determined by comparing the labor demand forecasts and the internal labor supply forecasts

ANSWER: A

ABC company is manufacturing operation this company has 600 employees in 2013 E.C. the company productivity is decrease time to time due to different factors the reduction of this productivity leads for the company shortage of funds. Due to this reason the human resource manager of ABC Company reduce their employees 600 to 500. 100 employees are terminated from ABC company. This type of termination refer to -----?

A. Retirement

B. Resignation

C. Dismissal

D. Layoff

ANSWER: D

Feasibility study determines _____.

A. Whether the project is possible with resources

- B. Comparing the project with world class manufacturing norms
- C. Calculate the cost crashing each unit
- D. Add duration to each unit

ANSWER: A

Project crashing is the method for_____.

- A. Adding resources at critical points
- B. Shortening the project duration by reducing the time of one or more critical activities
- C. Doing technical analysis of the finished work for review
- D. Adding duration to each activity

ANSWER: B

Which of these is not one of the constraints of a project?

- A. Scope
- B. Resources
- C. Team
- D. Budget

ANSWER: C

The computation of payback period, assume that a project requires annual after tax cash flows of Br.5000 and an initial investment of Br. 20,000 for five years. How long it takes the company to recover its initial investment? When cash flow is in annuity form.

- A. 0.25 years
- B. 4 months
- C. 0.25 Months
- D. 4 years
- E. None of the above

ANSWER: D

Which one of the following statement is true?

- A. An increase in project scope is likely to increase project cost.
- B. A decrease in the project time is likely to increase project quality.
- C. An increase in the project quality requirements is likely to decrease project cost.
- D. A decrease in the project cost is likely to decrease project time.

ANSWER: A

When the elements of net evaluation row of simplex table are equal, the situation is known as:

- A. Tie
- B. Break
- C. Degeneracy
- D. Shadow Price

ANSWER: A

The solution of the Linear programming problem in graphical solution lies in:

- A. First quadrant
- B. Third quadrant
- C. Second quadrant
- D. Fourth quadrant

ANSWER: A

When the total allocations in a transportation model of $m \times n$ size are not equals to $m + n - 1$ the situation is known as:

- A. Unbalanced situation
- B. Degeneracy
- C. Tie situation
- None of the above

ANSWER: B

The disconnection of an activity before the completion of all the activities in a network diagram is known as;

- A. Dangling
- B. Dummy
- C. Looping
- D. Event

ANSWER: A

All the following sentences are true except one:

- A. In decision making under risk, more than one states of nature exist
- B. In decision making under risk, there is enough information available to assign probability to each of the possible states.
- C. In decision making under uncertainty, more than one state of nature exists
- D. In decision making under uncertainty, there is enough information about the various states and sufficient knowledge to assign probabilities to them.

ANSWER: D

One of the following is an example of applied research.

- A. Abraham Maslow theory of motivation (hierarchical need theory)
- B. Darwin Theory of Evolution
- C. Einstein Theory of Relativity
- D. Chemicals environment impact and health outcomes

ANSWER: D

Which of the following is among the possible motives of individuals to undertake fundamental research work?

- A. Gathering knowledge and investigating for new principles and laws
- B. Desire to face a challenge in solving the unsolved problem
- C. Finding a solution for an immediate problem facing a society, a group or industry
- D. Application of principles and laws in solving some social, economic or other problems

ANSWER: A

Which statement is correct about research problem formulation except:

- A. Past research is probably the most important source of research idea / problem
- B. The research problem is better operational and should be subjective and non-measurable
- C. The problem taken for the research should not be too general or too specific
- D. The research problem undertaken should be feasible for implementation

ANSWER: B

Of the following is incorrect statement about hypothesis formulation.

- A. Null Hypothesis (Ho) TRUE- Null Hypothesis-Accept- Correct Decision
- B. Null Hypothesis (Ho) FALSE - Null Hypothesis-Accept- Type: I Error
- C. Null Hypothesis (Ho) FALSE - Null Hypothesis- Reject -Type: I Error
- D. Null Hypothesis (Ho) FALSE - Null Hypothesis- Accept - Type: II Error

ANSWER: B

If the researcher wants to investigate and answer the question is it true that Garlic has the ability to cure or prevent the COVID-19? Or is it just a myth? Is _____research.

- A. Explanatory research
- B. Exploratory Research
- C. Diagnostic research studies
- D. Hypothesis Testing Research

ANSWER: D

Of the following is not the reason for sampling.

- A. When the results are required in short time
- B. The data from sample more accurate than census technique
- C. When the area of survey is wide
- D. When resources are limited

ANSWER: B

Assume that, the price of “X” product affects, the demand or purchasing capacity and willingness of the customer. If transportation cost of the product also affects both the price of the product and the demand of the product. Based on the above example which one is true?

- A. Price of the dependent variable,
- B. Demand of the product is independent variable
- C. Both demand and price of the product are independent variable
- D. Transportation cost is confounded variable affects both demand & price

ANSWER: D

A research design concerned with why and how one variable produce changing in another variable called ____.

- A. Exploratory design
- B. Descriptive design
- C. Causal or Explanatory
- D. Formal design

ANSWER: C

Suppose you are the owner of ABC Company and you want to achieve your competitive advantage sustainably by focusing on flexibility. Which one of the following is essential for achieving your competitive advantage?

- A. By focus on Cost cutting system.
- B. By focus on offering a wide variety of goods or services.
- C. By focus on rapid delivery and on-time delivery system.
- D. By focusing on the quality of goods and services.

ANSWER: B

Which one of the following is a true type of operation process?

- A. Repetitive operations are labor intensive rather than capital intensive.
- B. Intermittent operations used to produced high standardized product
- C. Repetitive operations are used to produce highly customized products

- D. Repetitive operations are capital intensive rather than labor intensive.
- E. All of the above

ANSWER: D

Which one is the false statement about types of capacity?

- A. Design capacity consider both unpredicted as well as predicted problems
- B. The maximum reasonable and realistic output given predicted problem is effective capacity
- C. The output capacity consider not only predicted problems but also unpredicted problems such as machine breakdown and absenteeism
- D. In most case rated capacity is less than designed capacity
- E. Design capacity can be achieved and sustained only for shorter period than output capacity

ANSWER: A

Of the following which one is correct about operations management?

- A. Operation management deals only the production of tangible products
- B. Operations management is exists only in manufacturing sector
- C. Operation Management concerns for the administration of both production of goods and provision of services to the customers.
- D. Operations management is wider in scope than production management
- E. A&B
- F. C&D

ANSWER: F

Of the following which one is correct true about quality?

- A. Superior quality refers to best quality
- B. Operation manager has a sole responsibility to ensure quality
- C. Quality is the sole responsibility of quality department
- D. Quality is the sole responsibility of manufacturing department
- E. Quality responsibility lies on every sections in the organizations

ANSWER: E

ABC company is service provider organization .This company has provide different type of services for their customers or clients .To provide their services for their customers or clients they are decide intermittent production process. But the company has not decided on their facility layouts. If you are operation manger of this company, what type of facility layout you are apply?

- A. Fixed position layout.
- B. Process layout
- C. Product layout
- D. Hybrid layout

ANSWER: B

Suppose you wants to set a layout for your business which is intended on manufacturing of one or a few pieces of identical heavy products.

- A. Process layout
- B. Fixed position layout
- C. Product layout
- D. Cellular Layout
- E. None of the above

ANSWER: B

A poor choice of location might result in to the following except

- A. Excessive transportation costs
- B. Availability of qualified labor
- C. loss of competitive advantage
- D. inadequate supplies of raw materials

ANSWER: B

_____ are the approaches to the study of leadership which emphasize the personality of the leader:

- A. Contingency theories

- B. Group theories
- C. Trait theories
- D. Inspirational theories

ANSWER: C

Participative leadership has which of the following characteristics

- A. Believe success arises from leaders and staff working together
- B. Employs a clear chain of command
- C. Takes the view that rewards and punishment motivate staff
- D. Seeks to involve staff in the decision making process

ANSWER: D

A boss ordering his employee to do his or her task is the representation of?

- A. Democratic – leadership communication style
- B. Authoritarian – leadership communication style
- C. Interpersonal – leadership communication style
- D. Laissez- – leadership communication style

ANSWER: B

_____ Theory of leadership emphasizes cooperation, ethics and higher human value.

- A. Transformational
- B. Transactional
- C. Great man
- D. Trait

ANSWER: A

Intra organizational conflict encompasses except;

- A. Conflict is caused due to incompatibility of goals, sharing limited resources and difference in time orientation

- B. Conflict between government organization and the operating industry
- C. Conflicts between subordinates and superior occur due to incompatibility
- D. Conflict arises when roles assigned to him have different expectation

ANSWER: B

On what belief are contingency theories of leadership based?

- A. That there is a single style of leadership appropriate to all managers
- B. That there is a single style of leadership appropriate to all situations
- C. That there is no single style of leadership appropriate to all situations
- D. All style of leadership appropriate to all situations

ANSWER: C

One of the following is a specific guideline, and administrative practices established to allow consistency and coordination within an organization.

- A. Strengths
- B. Weakness
- C. Policies
- D. Goals

ANSWER: C

Which one of the following is a base for organization culture and state how managers and employees should conduct themselves?

- A. Mission Statement
- B. Vision Statement
- C. Business Value
- D. Strategic Issues

ANSWER: C

Different levels of strategic decision making and strategy formulation in any organization include

- A. Corporate Level and Business Level
- B. Corporate Level and Functional Level
- C. Business Level and Functional Level
- D. Corporate, Business and Functional Level

ANSWER: D

_____ is a process through which a strategy is put into action.

- A. Strategic analysis
- B. Strategy implementation
- C. SWOT analysis
- D. Strategic turnaround

ANSWER: B

_____ means crafting a combination of strategies and picking out the best one to achieve the organizational goals and objectives and thereby reaching the vision of the organization.

- A. Strategy implementation
- B. Strategic analysis
- C. Strategy formulation
- D. Strategic management

ANSWER: C

Which of these is/are a basic activity of strategy evaluation?

- A. Reviewing internal and external factors that represent the bases of current strategies
- B. Measuring organizational performance
- C. Taking corrective actions
- D. All of the above

ANSWER: D

_____ is a way of convincing someone to get something or make a decision in your favor.

- A. Persuasion
- B. Listening
- C. Planning
- D. Persevering

ANSWER: A

Opportunity identification is referred to_____?

- A. It is ability to see, to discover and exploit opportunities that others miss.
- B. It is the process of combining resources to pursue a market opportunity identified.
- C. It is screening and evaluation of identified opportunities risks and returns.
- D. It is evaluation of the people who would run the company.

ANSWER: A

Which one is not the characteristic of small business?

- A. The area of operation of a small firm is often local.
- B. The owner has control of the business himself/herself.
- C. Small business is generally technology intensive.
- D. The owner actively participates in all aspects of the management of the business.

ANSWER: C

After management develops product concept and marketing strategy, it can evaluate the proposed business attractiveness. Management needs to prepare sales, cost and profit projections to determine whether they satisfy the company's objective or not. Which new product development process the above statement represents?

- A. Concept testing
- B. Product development
- C. Commercialization
- D. Business analysis
- E. Information utility

ANSWER: D

Which incorrect about Core Concepts of Marketing?

- A. Cost is the amount of money that is going to be expended or already incurred to acquire a product.
- B. Product is the act of obtaining a desired product from someone by offering something in return.
- C. Wants are desires for specific satisfiers of needs.
- D. Transaction is the trade of values between two parties.

ANSWER: D

It is a contract between an inventor and the government about the product/service.

- A. Trade mark
- B. Copy right
- C. Patent
- D. Product

ANSWER: C

Which one of the following is not Significance of management?

- A. It helps in achieving group goals.
- B. It helps to optimum utilization of resources.
- C. It gets maximum results through minimum input.
- D. It enables the organization to survive in changing environment
- E. Efficient management leads to better economical production
- F. None of the above

ANSWER: F

According to henery Fayol principles of Management, Every employee should receive orders from only one superior. This statement indicates.

- A. Division of Work

- B. Authority
- C. Unity of command
- D. Unity of direction

ANSWER: C

Planning It involves all the following except

- A. Determination of objectives/ goals
- B. Establishment of overall strategy
- C. Formulation of programs
- D. Maps the courses of action for their attainment
- E. None of the above.

ANSWER: E

Which one of the following is true about Organizing?

- A. It is grouping of activities necessary to attain objectives.
- B. It is assignment of each grouping to a manager with authority necessary to supervise it.
- C. It is the process of creating activity authority relationship
- D. Proper authority should be delegated.
- E. All of the above.

ANSWER: E

The act of assigning the right individual, for the right place, at the right time is referred to as_____.

- A. Organizing
- B. Staffing
- C. Directing
- D. Planning
- E. Controlling

ANSWER: B

To integrate the people with the organization, the manager should have the following skills except

- A. Leadership skill
- B. Motivation skill
- C. Communication skill
- D. None of the above

ANSWER: D

Which one of the following is true about controlling?

- A. It is about determining what is being accomplished.
- B. Autonomy and accountability are embedded in the concept of control.
- C. It is help full to design information feedback systems.
- D. It is checking current performance against predetermined standards
- E. Control is fully consistent with freedom
- F. All of the above

ANSWER: F

Which one of the following is odd about responsibilities of Managers?

- A. Establishing broad objectives.
- B. Designing major strategies.
- C. Out lining principal policies
- D. Developing specific targets

ANSWER: D

Which one of the following is not the official decision of Financial Management?

- A. Asset Management
- B. Investment Management

- C. Dividend policy management
- D. Financing decision management
- E. None of the above

ANSWER: E

The ability of a firm to meet its short-term financial obligations when and as they fall due is referred to as _____.

- A. Liquidity Ratio
- B. Activity Ratio
- C. Solvency Ratio
- D. Profitability Ratio
- E. Market value ratios.

ANSWER: A

Which one of the following is true Statement?

- A. The value of a given amount of money at one point in time is not the same as the value of the same face amount at another time.
- B. A series of payments equal in size, made at equal periodic time intervals is annuity.
- C. The amount that must be paid on the legal due date for a note is a face value.
- D. In a compound Interest paid (earned) on any previous interest earned, as well as on the principal borrowed (lent).
- E. All of the above

ANSWER: E

Which one of the following is False about Valuation of Bond and stock?

- A. The present value of a perpetual bond is simply the periodic interest payment divided by the appropriate discount rate per period.
- B. If the present value of the bond is in excess of its par value, Investors would be willing to pay a premium to buy the bond.

- C. If the required rate of return equals the coupon rate, the bond has a present value equal to its par value.
- D. When we say valuation, we are talking about present value.
- E. None of the above

ANSWER: E

Which one of the following is true about capital budgeting?

- A. It is long-term planning for making and financing proposed capital outlays.
- B. If the actual pay-back period is less than the predetermined pay-back period, the project would be accepted.
- C. If the IRR of a project is greater than the firm's cost of capital, accept the project, whereas if IRR is less than the cost of capital reject the project.
- D. A project with PI greater than 1 is accepted but a project is rejected when its PI is less than 1.
- E. If the present values of compounded cash inflows are greater than the present values outflow, the project should be accepted and vice-versa.
- F. All of the above

ANSWER: F